BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

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Prepared Testimony of:
Staff Gas Infrastructure and
Operation Panel

Sara Orsino
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Justin Koebele
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Q. Members of the Staff Gas Infrastructure and Operation Panel, or Panel, please state your names, employer, and business addresses.

A. My name is Sara Orsino. I am employed by the New York State Department of Public Service, or Department or DPS. My business address is Three Empire State Plaza, Albany, NY 12223. Our names are Reshma Mathew, Mohammed Hasan, and Justin Koebele. We are also employed by the Department; however, our business address is 125 East Bethpage Road, Plainview, NY 11803.

Q. Ms. Orsino, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist I, in the Office of Rates and Tariffs.

Q. Please describe your educational background.

A. I received a Bachelor of Science degree in Chemical Engineering from Clarkson University in 2017. I joined the Department in 2020 as a Utility Engineering Specialist I.

Q. Please describe your responsibilities and professional experience with the Department.

A. I have been employed by the Department since

February 2020 and my responsibilities have included various aspects of electric and gas utility regulation. This includes participating in minor and major rate cases, preparing, analyzing, and reviewing reports and studies involving capital expenditures, plant in service models, revenue allocation and rate design and tariff billing. I also perform engineering analysis on the operation, maintenance, and construction cost of electric and gas facilities.

Q. Have you previously testified in utility rate proceedings or other ratemaking proceedings?

A. Yes, I provided testimony in rate proceedings, including Central Hudson Gas & Electric Corporation, or Central Hudson in Cases 20-E-0428 and 20-G-0429. My testimony related to the embedded cost of service study, revenue allocation and rate design, revenue price-outs, gas capital expenditures, and tariff changes. I also provided testimony in Case 21-G-0577 regarding Liberty Utilities (St. Lawrence Gas) Corp. My testimony related to revenue allocation, rate design, revenue price-outs and

tariff changes.

Q. Ms. Mathew, what is your position at the Department?

A. I am employed as an Engineer Trainee (Electrical) in the Office of Energy System Planning & Performance, or ESPP.

Q. Please describe your educational background and professional experience.

A. I received a Bachelor's degree in Electrical and Communications Engineering from Mahatma Gandhi University, India in 2016. My professional experience includes one year and nine months as a Rent Examiner at the Major Capital Improvements division of New York State Homes and Community Renewal.

Q. Please describe your responsibilities and professional experience with the Department.

A. I began my employment with the Department as a Utility Consumer Assistance Specialist 1 in August 2021 and transitioned to ESPP in April 2023. My responsibilities have included various aspects of electric and gas utility regulation, including analysis of various standard and complex customer related inquires and

complaints, review of the practices and procedures of utility service providers, and review of electric utility Customer Service performance metrics. My current responsibilities include reviewing and making recommendations regarding electric utility performance metrics pertaining to system reliability and service quality, review of capital and Operations and Maintenance, or O&M, budgets, overseeing emergency drills, and performing safety inspections on electrical utility assets.

Q. Have you previously testified in utility rate proceedings or other ratemaking proceedings?

A. No.

Q. Mr. Koebele, what is your position at the Department?

A. I am employed as an Assistant Engineer (Mechanical) in ESPP.

Q. Please describe your educational background.

A. I received a Bachelor of Engineering degree in Mechanical Engineering in 2017 from Stony Brook University. I also received a Master of Science degree in Mechanical Engineering in 2018 from

Stony Brook University. My professional experience includes one year designing residential electrical products at Leviton Manufacturing Co and one year designing light-emitting diode lighting products at Nanometer Lighting.

Q. Please describe your responsibilities and professional experience with the Department.

A. I began my employment with the Department as an Assistant Engineer (Mechanical) in March 2023. My responsibilities have included the review and analysis of electric utility Capital Expenditure, or CapEx, and O&M budgets, reviewing and making recommendations regarding electric utility performance metrics pertaining to system reliability, overseeing emergency drills, performing safety inspections on electrical utility assets, and analyzing trends in historical outage data provided by the utilities.

Q. Have you previously testified in utility rate proceedings or other ratemaking proceedings?

A. No.

Q. Mr. Hasan, what is your position at the

Department?

A. I am employed as an Assistant Engineer (Electrical) in ESPP.

Q. Please describe your educational background.

A. I received a Bachelor of Science degree from New York University Tandon School of Engineering in 2019.

Q. Please describe your responsibilities and professional experience with the Department.

A. I began my employment with the Department as an Assistant Engineer in December 2021. While employed at the Department my responsibilities have included performing engineering analyses and reviews of rates and tariff filings, performing reliability analyses of electric services, investigating customer complaints associated with reliability issues, reviewing, and performing analysis on electric utility power supply charges, and reviewing and making recommendations regarding electric utility performance metrics pertaining to system reliability and service quality.

Q. Have you previously testified in utility rate proceedings or other ratemaking proceedings?

A. No.

**Summary of Testimony**

Q. What is the purpose of the Panel's testimony in these proceedings?

A. Our testimony will recommend an overall level of CapEx for the Brooklyn Union Gas Company d/b/a/ National Grid NY, or KEDNY, and KeySpan Gas East Corporation d/b/a National Grid or KEDLI, collectively the Companies, projected for the Rate Year, or RY, which is the twelve months ending March 31, 2025, and the following three years. We will also recommend a level of net plant and depreciation expense that will be reflected in the revenue requirement forecast as recommended by the Staff's Revenue Requirement Panel. While it is our position that the Companies should spend at the levels they deem appropriate to provide safe and adequate service, we are, however, recommending adjustments to the budgets for the capital programs and projects, which will impact the net plant balances and depreciation expense. These adjustments reflect the level of capital additions we find the Companies justified in

their direct testimonies, corrections and updates filing, and responses to interrogatories.

Q. Please define the historic test year, or HTY, the RY, and Data Years, or DYs, in these proceedings.

A. The HTY is the twelve-month period ending December 31, 2022. The Rate Year is the twelve-month period ending March 31, 2025. The Data Years, One, Two, and Three, are what the Companies refer to as the subsequent twelve-month periods ending March 31, 2026, March 31, 2027, and March 31, 2028, respectively.

Q. What are KEDNY's and KEDLI's fiscal years, or FYs?

A. The Companies' FY runs from April 1 to March 31. They are identified by the calendar year in which the FY ends, such that FY 2025 begins on April 1, 2024, ends on March 31, 2025, and is identical to the Rate Year. FY25, FY26, and FY27 correspond to the Companies' Data Years 1, 2, and 3.

Q. What is the purpose of reviewing the Companies gas capital budget in this proceeding?

A. The intent of reviewing the Companies' CapEx budgets is to determine the appropriate level of gas capital expenditures to be used in setting rates for the Rate Year. Our recommended adjustments reflect the level of capital additions we find are reasonable. As such, with our adjustments, we are recommending the level of plant in service that is most appropriate for the Commission to use when setting rates.

Q. What other items will the Panel discuss?

A. We will discuss, among other things: (1) the scope of our review of the Companies' CapEx budgets; (2) the scope of our review of the Companies' historical CapEx; (3) the Companies' proposed CapEx and our adjustments by budget categories; (4) the Companies' capitalization policy; (5) our proposed Rate Year net plant in service and depreciation expense for KEDNY and KEDLI; (6) the Companies' proposed incremental O&M expenses for certain programs and our recommended adjustments; (7) the Companies' City/State Construction, or CSC, True Ups and our proposed recommendations; (8) the proposed incentives for Leak Prone Pipe, or LPP, in the

Gas Safety and Reliability Surcharge, or GSRS; (9) the Net Utility Plant and Depreciation Tracker Mechanism; and (10) various reporting requirements.

Q. Please describe the Panel's overall CapEx recommendations and adjustments for KEDNY.

A. We recommend adjusting KEDNY's FY24, Rate Year, FY26, FY27, and FY28 direct capital budget, as shown in the KEDNY's Corrections and Updates, or C&U, Exhibit___(GIOP-1CU), by a downward $23.753 million for FY24, downward $57.357 million in the RY, downward $1.114 million in DY1 or FY26, an upward $46.938 million in DY2 or FY27, and an upward $102.673 million DY3 or FY28.

Q. Please describe the Panel's overall CapEx recommendations and adjustments for KEDLI.

A. We recommend reducing KEDLI's direct capital budget, as shown in KEDLI's C&U Exhibit___(GIOP-1CU), by $9.660 million in FY24, by $53.458 million in the RY, $44.160 million in DY1 or FY26, by $35.404 million in DY2 or FY27, and by $31.349 million in DY3 or FY28.

Q. Please describe the Panel's overall O&M expense

recommendations and adjustments.

A. We recommend reducing KEDNY's Rate Year incremental Non-Labor O&M expense budget, as shown in Exhibit___(GIOP-7CU), by $1.249 million and we recommend reducing KEDLI's Rate Year incremental Non-Labor O&M expense budget, shown in Exhibit___(GIOP-6CU), by $1.070 million.

Q. Please describe the Panel's full-time equivalent, or FTE, employee adjustment.

A. We recommend reducing KEDNY's Rate Year FTE count, as shown in Exhibit___(GIOP-8CU), by 14 FTEs. We recommend reducing KEDLI's Rate Year, FTE count, as shown in Exhibit___(GIOP-7CU), by six FTEs.

Q. Please describe the Panel's net plant and depreciation expense recommendations and adjustments.

A. We incorporated our recommended capital expenditure forecast and Staff Witness Darmetko's recommended depreciation rates into the Companies' plant models, which resulted in an overall decrease in net plant in service and an associated decrease to depreciation expense from KEDNY and KEDLI's Exhibit___(RRP-7CU),

Schedule 1. For the Rate Year, for KEDNY we recommend reducing net plant in service by $21.531 million and reducing depreciation expense by $6.257 million. For the Rate Year, for KEDLI we recommend reducing net plant in service by $11.079 million and reducing depreciation expense by $6.308 million.

Q. Please summarize the Panel's remaining recommendations.

A. We propose a downward only net plant tracker mechanism, and for the Companies to continue the existing reporting requirements related to capital expenditures. We also recommend the Commission deny the Companies' proposed full reconciliation for the CSC Capital Tracker. Finally, we recommend the Commission reject the Companies' LPP unit cost incentive proposal.

Q. Did you provide your adjustments to the Staff Revenue Requirements Panel?

A. Yes. We provided our recommended adjustments to the average net plant in service balance, the associated annual depreciation expense, O&M expenses, and incremental FTEs to the Staff Revenue Requirements Panel.

Q. In your testimony will you refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes. We will refer to various interrogatory responses throughout our testimony. These responses will be referred to by the designation assigned by the Department, for example, DPS-100. All of the responses are included in our Exhibit___(SGIOP-1).

Q. Are you sponsoring any additional exhibits?

A. Yes. We are sponsoring the following additional exhibits: Exhibit___(SGIOP-2) – contains a Summary of the Panels' CapEx by Budget Category; and Exhibit___(SGIOP-3) – contains the monthly net utility plant balances and depreciation expenses for the Rate Year.

**Review of the Capital Budget**

Q. Please explain the scope of the Panel's review of the proposed CapEx programs and projects.

A. We recommend a level of capital spending for the Rate Year and, therefore, reviewed all the plans and projects from the beginning of the HTY through FY 2025, or the Rate Year. We then incorporated those adjustments into the plant in

service model. We also reviewed and make recommendations concerning the CapEx budgets for the Data Years or FYs 2026, 2027 and 2028.

Q. What capital planning information did the Panel review in these proceedings?

A. We reviewed the processes and procedures used by the Companies, including historic expenditures, forecast expenditures, and changes to O&M expenses related to changes to the forecast expenditures.

Q. Please explain why the Panel conducts a review of historical expenditures.

A. The purpose of a historic review is two-fold. It provides insight as to the Companies' capital spending performance and it is a review of actual expenditures against the Companies' previous forecasts.

Q. Explain how the Panel reviewed the historical expenditures.

A. We reviewed the actual and budgeted CapEx amounts for the last five years, including the HTY, in aggregate and, for mass activities, by blanket project grouping or otherwise by specific project. We also reviewed the

Companies' full descriptive analysis for each project line item, by year, to determine whether project schedule slippage, scope change, cost variance, or a combination thereof was the basis for a deviation from the budgeted amount.

Q. Please explain how the Panel reviewed the Companies forecasted CapEx budget.

A. We reviewed each CapEx project or blanket grouping by its associated line item. We also reviewed: (1) a fully detailed description, including all studies and alternative analyses, on a project- or program-specific basis; (2) the justification for project expenditures and budgets; (3) the current construction schedule, with major milestones and in-service dates; (4) the project-specific or program-specific cost/benefit analysis; and (5) the associated corporate management project authorization or sanction papers.

Q. Why is the review of this information important?

A. Since rate base is a major driver of the revenue requirement increase, it is important for us to verify that the projects are needed to either comply with Federal and State regulations and/or

to ensure system safety and reliability.

Q. Did the Panel also review the related and potential O&M costs and savings associated with the forecasted capital expenditures?

A. Yes. We reviewed by program or project, either aggregated by blanket or individual project, each O&M program change in line with the capital plan. We also requested and reviewed a detailed description of the related O&M program and the related actual and budgeted O&M expense amounts for the last five historic years by program.

**Capital Budgeting Process**

Q. Explain how the Companies generally develop their annual CapEx budgets.

A. Each year, as explained in the Companies' Gas Infrastructure and Operations Panel's direct testimonies, the Companies develop a ten-year capital plan. The process begins with the Companies compiling proposed spending for programs and individual capital projects. These programs and projects are categorized into one of eight major spending rationales which we will discuss in greater detail later in our testimony.

Q. After the capital plan is complete, who approves it?

A. Ultimately, the National Grid plc Board of Directors approves the budget. The New York Jurisdictional President and Chief Financial Officer review the capital plan in late fall. The New York Jurisdictional review includes analysis of the overall customer, service quality, and financial impacts of the investment plan as part of the business planning process and may request changes to the level or mix of investments. In early winter, the capital plan is presented to the National Grid USA Board of Directors and the National Grid plc Executive Committee. In early spring, the capital portfolio is presented to the National Grid plc Board of Directors for review and approval.

Q. Are additional approvals needed before a project in the annual capital plan may proceed?

A. Yes. Specific delegation of authority approval must be obtained for any project in the ten-year capital plan to proceed. The delegation of authority approval process includes sanctioning documentation and review for projects over $2.5

million. Smaller projects under $2.5 million do not require sanctioning and are approved through a supervisory delegation of authority hierarchy based on certain established thresholds. The New York Executive Sanctioning Committee delegates review of projects with estimated costs between $2.5 million and $50 million to an informal committee led by the Investment Planning group that includes, but is not limited to, managers and directors from the regulatory, estimating, asset management, and procurement groups. Projects greater than $50 million are reviewed and approved by the New York Executive Sanctioning Committee.

Q. What is the sanctioning process?

A. The sanctioning process identifies the appropriate spending levels, by specific programs or projects. Sanction papers provide cost and project details, as well as potential alternatives and the ramifications of those alternatives so that the Companies can make informed decisions regarding capital forecasts and associated adjustments.

**Overview of KEDNY's and KEDLI's Capital Budgets**

Q. Summarize the Companies' historic capital investments for the most recent five FY period between 2019 and 2023.

A. According to the Companies' responses to DPS-122 and DPS-370, KEDNY spent approximately $805.142 million, $897.317 million, $692.518 million, $803.648 million, and $776.036 million during FYs 2019 through 2023, respectively. KEDLI spent approximately $411.721 million, $435.593 million, $433.683 million, $518.247 million, and $455.671 million during FYs 2019 through 2023, respectively.

Q. Describe the capital spending plan the Companies propose for the period 2025 through 2028.

A. As shown in KEDNY's Exhibit___(GIOP-1CU); KEDNY proposes spending levels of $855.164 million, $1,007.998 million, $1,027.480 million, $1,014.679 million, and $1,012.813 million for FYs 2024 through 2028, respectively. As shown in KEDLI's Exhibit___(GIOP-1CU); KEDLI proposes spending levels of $520.784 million, $655.030 million, $721.169 million, $729.241 million, and $651.514 million for FYs 2024 through 2028,

respectively.

Q. What are the Companies' eight CapEx investment plan categories you mentioned earlier?

A. The Companies' forecast gas capital investment spending rationales are: (1) Growth; (2) Mandated; (3) Reliability; (4) Non-Infrastructure; (5) Advance Communication Infrastructure; (6) Future of Heat; (7) Operator Qualification, or OQ, Program; and (8) Indirects - which is comprised of investments such as facilities, fleet, and supply chain investments.

Q. How did the Panel review the Companies' capital forecasts for FY 2024, the Rate Year, and FYs 2026 through 2028?

A. We reviewed the Companies' testimony, exhibits, and responses to our interrogatories. We also conducted field visits, held technical conferences, and interviewed KEDNY and KEDLI personnel.

Q. What are the Panel's recommendations regarding the Companies' forecast capital investment plans?

A. We generally support the Companies' plans but recommend specific adjustments to each of the

budget categories, as explained further on in our testimony.

**Customer Connections Category**

Q. Please explain the Companies' Customer Connections category.

A. The Customer Connections category is comprised of various programs such as the installation of main, services and meter/regulators, meter purchases, gas system reinforcement, and other specific projects associated with providing service to new customers. The budget also includes a forecast of customer contributions to offset construction costs.

Q. Please summarize KEDNY's forecasts for the Customer Connections category.

A. The total Customer Connections category forecasts shown in KEDNY's Exhibit___(GIOP-1CU) for FY24, the Rate Year, FY26, FY27, and FY28 are approximately $113.450 million, $101.154 million, $77.944 million, $78.469 million, and $96.475 million, respectively.

Q. Please summarize KEDLI's forecasts for the Customer Connections category.

A. The total Customer Connections category

forecasts shown in KEDLI's Exhibit___(GIOP-1CU) for FY24, the Rate Year, FY26, FY27, and FY28 are approximately $96.452 million, $67.400 million, $85.331 million, $71.950 million, and $67.732 million, respectively.

Q. Explain how the Companies developed their Customer Connections budgets.

A. The Companies' responses to DPS-460, DPS-461 and DPS-462 describe how the Companies developed their capital budgets for the Customer Connections category. The Companies stated that the budget for each line item under the Customer Connections category, except for the "Gas System Reinforcement" projects, is the product of forecast units multiplied by unit costs.

Q. Explain how the Companies forecasted the unit cost for those projects?

A. The Companies' responses to DPS-461 and DPS-462, show the unit costs for the line items: install main, install services, and install meter/relators are based on a three-year average, FY 2020 – FY 2022, adjusted for inflation. The Companies' response to DPS-461

Attachment 1 and DPS-462 Attachment 1, provide the estimated units and unit cost for KEDNY and KEDLI from FY 2024 through FY 2028, respectively.

Q. Explain how the Companies forecasted the number of units for the line items that were forecasted using number of units and unit costs.

A. The Companies' response to DPS-460, shows the forecast number of units for the line items install main, install services, and install meter/regulators under Customer Connections were developed using current trends and saturation assumptions.

Q. How did the Companies forecast the number of service installations associated with new services and cost of such services for the RY?

A. The number of services was assumed to be equal to the service installations experienced in FY 2022. The cost to install those services were forecasted by multiplying the number of services by the historical three-year average cost of service installations, from FY 2020 through FY 2022, adjusted for inflation. Finally, the Companies made a reduction to adjust for

anticipated legislative and/or regulatory changes which we will describe in greater detail shortly.

Q. How did the Companies forecast main installations associated with new services and associated costs for the RY?

A. The footage of mains installed associated with new services was forecasted by multiplying the new service forecast by the historical average of the feet of main installed per service. The ratio of feet of main per service was 6.33 and 27.6 for KEDNY and KEDLI respectively. KEDNY used FY 2021 – FY 2022 to calculate the historical average while KEDLI used FY19 – FY22. The cost to install those mains was forecasted by multiplying the number of feet installed by the historical three-year average cost, from FY 2020 through FY 2022, adjusted for inflation. As with service installations, the Companies made a reduction to adjust for anticipated legislative and/or regulatory changes.

Q. How did the Companies forecast meter/regulator installations associated with new services and associated costs for the RY?

A. The number of meters/regulators installed associated with new services was forecasted by multiplying the new service forecast by the historical average of the number of meters/regulators installed per service. The ratio of meters/regulators per service was 4.0 and 1.3 for KEDNY and KEDLI respectively. KEDNY and KEDLI used the ratio of FY 2020 – FY 2022 historical average to calculate the ratio of meters/regulators per service. The cost to install those meters/regulators was forecasted by multiplying the forecasted number of installations by the historical three-year average cost, from FY 2020 through FY 2022, adjusted for inflation. The Companies made a reduction to adjust for anticipated legislative and/or regulatory changes for this line item as well.

Q. Explain the Companies adjustments to the Customer Connections budget forecast based on anticipated legislative and/or regulatory changes.

A. In response to DPS-461, KEDNY multiplied the number of forecasted units by the three-year

average unit costs and then reduced the forecast budgets for install main, install services, and install meters/regulators by 39.04 percent based on the impacts of known and measurable regulatory and legislative changes, such as New York City Local Law 154, as well as such changes that are prospective or less easily quantified, such as New York City Local Law 97. Similarly, in response to DPS-462, KEDLI multiplied the number of forecasted units by the three-year average unit costs and then further reduced the forecast costs of install main by 20.61 percent and install services by 30.13 percent, based on the impacts of known and measurable regulatory and legislative changes, such as Local Law 154, as well as such changes that are prospective or less easily quantified, such as Local Law 97.

Q. Does the Panel agree with the Companies forecast unit costs proposed for line items Install Main, Install Services, Customer Contributions, and Install Meter/Regulator?

A. Yes, we do.

Q. Does the Panel agree with the number of units the Companies used to forecast the budgets for

Install Main, Install Services, and Install Meter/Regulator?

A. No, we do not. We recommend taking a three-year average of number of services installed as shown in Companies response to DPS-460, Attachment 1 from FY 2020 – FY 2022. To forecast the main installation and number of meter/regulator units, we used the ratios the Companies used as stated previously. Since there is no experience operating under these regulatory changes, it is difficult to predict the number of customer connections that will be happening in the RY and subsequent DYs. Basing the added load on a historic three-year average as opposed to one year, captures more of a trend the Companies have experienced historically for customer connections.

Q. How do these adjustments affect KEDNY's Customer Connections category?

A. For line items Install Main, Install Services, Customer Contributions, and Install Meters/Regulators, our adjustments collectively add up to a downward adjustment of $7.924 million, $7.935 million, $8.847 million,

and $8.914 million, for KEDNY for the Rate Year, FY 26, FY 27, and FY 28, respectively.

Q. How do these adjustments affect KEDLI's Customer Connections category?

A. For line items Install Main, Install Services, Customer Contributions, and Install Meters/Regulators, our adjustments collectively add up to a downward adjustment of $13.093 million, $13.427 million, $13.660 million, and $13.359 million, for KEDLI for the Rate Year, FY26, FY27, and FY28, respectively.

Q. What are the Companies' proposals for their Gas System Reinforcement budgets?

A. KEDNY proposes a Gas System Reinforcement budget of $32.793 million, $32.798 million, $36.714 million, and $49.138 million for the Rate Year, FY26, FY27, and FY28, respectively. KEDLI proposes a Gas System Reinforcement budget of $13.479 million, $19.218 million, $14.727 million, and $18.250 million for the Rate Year, FY26, FY27, and FY28, respectively.

Q. How was the budget for the Gas System Reinforcement Program developed?

A. The Gas System Reinforcement Program is made up

of several individual projects that the Companies developed to relieve system constraints. As shown in KEDNY's response to DPS-526 Attachment 2 and KEDLI's response to DPS-527 Attachment 2, the Companies use a three-year average unit cost from FY 2020 – FY 2022. As shown in KEDNY's response to DPS-526 Attachment 1 and KEDLI's response to DPS-527 Attachment 1, the Companies then multiply the unit costs by the estimated footage of main expected to be installed for the projects.

Q. Does the Panel recommend any adjustments to the Gas System Reinforcement program?

A. We recommend the budget for the Gas System Reinforcement program be adjusted to reflect using a three-year average of historical unit costs for FY19, FY20, and FY22. We excluded FY21 from the analysis to reflect the impact of the COVID-19 pandemic, which caused unit costs and contractor costs to be significantly higher than the other years. Using this average, excluding FY21, provides a more reasonable and accurate forecast of future costs.

Q. What does the Panel recommend regarding the Gas

System Reinforcement budget?

A. We recommend reducing the Companies proposed Gas System Reinforcement budget for both KEDNY and KEDLI for the Rate Year. Specifically, we recommend reducing KEDNY's Gas System Reinforcement Rate Year budget by $3.633 million and reducing KEDLI's Gas System Reinforcement Rate Year budget by $0.932 million, due to the change in average unit cost as discussed earlier.

Q. Does the Panel have any adjustments to the proposed budgets in the outer years?

A. Yes. We recommend reducing KEDNY's budget by $3.073 million for FY26, $6.438 million for FY27, and $18.293 million for FY28. We also recommend reducing KEDLI's budget by $6.427 million for FY26, $1.699 million for FY27, and $4.977 million for FY28.

Q. Explain the basis for your recommended adjustments in the years after the Rate Year or Data Years.

A. While Gas System Reinforcement projects are needed to ensure the system can reliably meet the load requirements associated with new

customer additions, that system demand must be supported. The Companies propose significant increases in the budgets in the outer years, however, they have not justified the need for the increase or identified the specific projects needed to meet the future load requirements.

Q. Explain how the Companies were unable to demonstrate the need for the proposed Gas System Reinforcement budgets.

A. The Companies have indicated that most of their forecasted reliability needs are for projects that have not yet been determined. KEDNY's response to DPS-526 Attachment 1 reveals 64.40 percent, 74.90 percent, and 99.72 percent of the Gas System Reinforcement forecast for FY26, FY27, and FY28, respectively, are estimated costs with the project type listed as 'To Be Determined.' KEDLI's response to DPS-527 Attachment 1 reveals 74.15 percent, 83.18 percent, and 100 percent of the Gas System Reliability forecast for FY26, FY27, and FY28, respectively, are estimated costs with the project type listed as 'To Be Determined.' Also, in the Companies response to DPS-695 and

DPS-696, the Companies explain the project types are listed as 'To Be Determined,' in order to capture the estimated funding requirement for the program and for unidentified low pressure reinforcement projects.

Q. Explain how the Panel calculated their adjustment.

A. Since the Companies have not demonstrated the need or a defined plan to address an increased need, we revised the FYs 2026 – 2028 forecasts by taking the FY25 spending and adjusting for inflation using the Companies inflation factors. This provides the Companies with sufficient funding to complete system reinforcement projects based on historical needs.

Q. What is the overall effect from Staff's adjustment for KEDNY's Customer Connections category?

A. For KEDNY, we recommend decreasing the Customer Connections category by $11.558, $11.008 million, $15.286 million, and $27.207 million for the Rate Year, FY26, FY27, and FY28, respectively.

Q. What is the overall effect from Staff's

adjustment for KEDLI's Customer Connections category?

A. For KEDLI, we recommend decreasing the Customer Connections category by $14.026 million, $19.854 million, $15.359 million, and $18.337 million for the Rate Year, FY26, FY27, and FY28, respectively.

**Mandated Category**

Q. Please describe the Companies' Mandated Category of capital spending and spending forecasts for this category.

A. The Mandated Category of capital spending includes the projects and programs needed to comply with regulatory obligations, to coordinate with third party projects, and to meet commitments to further enable the safe operation of the system. The Mandated Category comprises the largest portion of the Companies' capital budgets, representing approximately 68.28 percent of KEDNY's total Rate Year budget, and 71.64 percent of KEDLI's total Rate Year budget.

Q. Describe the types of projects included in this category.

A. Some of the projects and programs included in this category are the CSC or Public Works projects, corrosion control program, and the proactive and reactive main and service replacement programs. The mandated category also includes the pipeline integrity management program, or IMP, and integrity verification program, or IVP, numerous inspection and maintenance programs, programs to manage the Companies' inventory of customer gas meters, among other projects.

Q. What levels of spending does KEDNY propose for the mandated category?

A. As shown in KEDNY's Exhibit___(GIOP-1CU), KEDNY forecasts a total mandated expenditure level of $604.297 million, $688.227 million, $719.346 million, $747.914 million, and $752.999 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively. The largest expenses in this category for KEDNY are the CSC/Public Works program, and the "Main Replacements Proactive-LPP programs." Together, these two programs account for 75 percent of the Rate Year expenses in KEDNY's Mandated category.

Q. What levels of spending does KEDLI propose for the mandated category?

A. As shown in KEDLI's Exhibit___(GIOP-1CU), KEDLI forecasts a total mandated expenditure level of $357.607 million, $476.396 million, $477.187 million, $519.587 million, and $459.660 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively. The largest expense for KEDLI is related to the "Main Replacements Proactive - LPP program," which accounts for 57 percent of the Rate Year expenses in KEDLI's Mandated Category. Other significant programs for KEDLI include CSC/Public Works and the IVP.

Q. Have the Companies proposed to increase spending in the Mandatory Category from the levels established in their previous capital investment plans that were authorized in the last rate case?

A. The Companies are proposing continuously increasing levels of spending for the Mandated Category. Compared to the three-year average of actual expenditures in FYs 2021 through 2023, the Companies' Rate Year proposals are 27.71 percent, and 80.35 percent higher for KEDNY and

KEDLI, respectively. The Companies state the major drivers of the proposed increases are new regulatory mandates, and significantly higher unit costs for main installation work across multiple mandated programs. These mandated programs include proactive and reactive main replacement, customer connections, corrosion, and CSC programs. For KEDNY, another cost driver of the capital investment plan is an increase in the cost of the Company's CSC program due to the expiration of the Cost Sharing Agreement, or CSA, with New York City, or NYC, which we will discuss in greater detail later in our testimony.

Q. Does the Panel recommend adjustments to KEDNY's mandatory capital investments?

A. Yes. For KEDNY, we recommend adjusting the budgets for the Mandated Category by a downward $20.521 million, a downward $11.912 million, an upward $53.336 million, an upward $110.428 million, and an upward $185.627 million, for FY24, the Rate Year, FY26, FY27, and FY28, respectively. This reflects our adjustments to the CSC program, the LPP program, Large Diameter

Pipe Rehabilitation Program, the Main Replacement – Reactive – Maintenance Program, Service Replacement – Inactive Accounts Program, and the Service Replacement – Reactive – Non-Leaks Program.

Q. Does the Panel recommend adjustments to KEDLI's mandatory capital investments?

A. Yes. For KEDLI, we recommend adjusting the budgets for the mandated category by a downward $1.790 million, a downward $20.509 million, a downward $8.314 million, an upward $11.837 million, and an upward $27.385 million, for FY24, the Rate Year, FY26, FY27, and FY28, respectively. This reflects our adjustments to the CSC program, the LPP Program, the Northwest Nassau Phase 3 project, and the Service Replacements – Non-Leaks program which we will discuss later in our testimony.

City and State Construction

Q. Please explain the CSC Program.

A. The CSC Program consists of main replacement work and support and protect work, which is required to accommodate public work projects. CSC Program work includes work on water, sewer,

and drainage infrastructure, street reconstruction, and bridge replacement projects, among others. These public work projects are implemented by outside parties including NYC and various municipalities on Long Island. The Companies are required to replace any main that is in direct conflict with a public work project, as well as any 8 inches or smaller cast iron main which is not in direct conflict, but whose integrity may be compromised by the project. Other pipe such as plastic pipe, which is not in direct conflict but may be compromised by a project is supported and protected during construction activities.

Q. How did the Companies develop their budgets for the CSC program?

A. KEDNY and KEDLI take different approaches to develop their CSC budgets. As explained in the Companies' response to DPS-553, KEDNY uses NYC's construction budget as a basis to estimate its CSC program budget. More specifically, KEDNY uses a 20 percent spending ratio of the NYC Department of Design and Construction's budget as the starting point of its estimate of this

program. KEDNY then refines its forecast based on historical actual spend data and adds an annual escalator.

Q. What is KEDNY's CSC budget?

A. KEDNY's CSC budget is $321.725 million, $329.511 million, $335.904 million, $342.118 million, and $348.550 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively.

Q. How did KEDLI develop its forecasted CSC budget?

A. KEDLI states in the response to DPS-598 that it develops its CSC budget by taking a three-year average of historical expenditures and applying an inflation factor to develop the forecast for the Rate Year budget.

Q. What is KEDLI's CSC budget?

A. KEDLI's CSC budget is $11.685 million, $11.919 million, $12.157 million, $12.400 million, and 12.648 million, for FY24, the Rate Year, FY26, FY27, and FY28, respectively.

Q. Does the Panel agree with KEDNY's methodology to forecast its CSC budget?

A. Yes, we agree as this methodology is reasonable based on this program's nature supporting projects in NYC, as well as the level of

historical expenditures.

Q. Does the Panel agree with KEDLI's methodology to forecast its CSC budget?

A. Yes, we agree as this methodology is reasonable based on the program's nature as supporting programs in limited parts of New York City and on Long Island and because their CSC expenditures have been relatively stable in recent years.

Q. Does the Panel recommend any adjustments to KEDNY's proposed budget for the CSC program?

A. Yes. We recommend reducing KEDNY's CSC budget by $18.279 million in FY24, $18.721 million in the Rate Year and $4.771 million in FY26.

Q. Explain why the Panel recommends this adjustment.

A. These adjustments reflect a forecast of the reimbursements KEDNY should receive from NYC for work done in accordance with the CSA agreement between the NYC and KEDNY.

Q. Did KEDNY include a forecast of reimbursements in its CSC capital budget forecast?

A. No. In KEDNY's Response to DPS-553, the Company stated that it excluded reimbursements from NYC

due to the CSA expiring June 30, 2025, and because KEDNY does not anticipate any NYC reimbursements due to the current significant lag in NYC invoice process cycle time. Also, in the Response to DPS-552, KEDNY states they have not received any reimbursements from NYC since FY 2020, and KEDLI's pending reimbursements date back to FY 2018.

Q. Explain why the Panel included reimbursements in its forecast.

A. We recognize KEDNY has not received any reimbursements from NYC since FY 2020, however, New York City is required to reimburse the Company in accordance with the terms of the CSA. Furthermore, the amounts reflected in our recommendation are consistent with the amounts historically reimbursed to KEDNY for work related to the CSC projects by NYC. Since these are funds owed to KEDNY pursuant to the CSA, it is incumbent upon New York City to timely and fully reimburse KEDNY, and for KEDNY to actively pursue the reimbursements to ensure rate payers are made whole.

Q. Explain how the Panel calculated the recommended

adjustments for KEDNY's CSC FY24, Rate Year, and FY26 budgets.

A. Using KEDNY's response to DPS-552, Attachment 2, we calculated the historical reimbursements requested as a percent of the total CSC budget for FYs 2021 – 2023, which resulted in an average of 5.68 percent. We then reduced the FY24 and Rate Year budgets by 5.68 percent to reflect the reimbursement KEDNY is expected to receive from NYC.

Q. What is the Panel's recommended adjustment to KEDNY's CSC budget for F26?

A. We recognize that the CSA ends in June 2025, which is 3 months after FY26 begins. Accordingly, we reduced the first three months of FY26, which overlaps with the expiring CSA with NYC, by the same percentage to reflect the reimbursements.

Q. Does the Panel recommend an adjustment to KEDLI's CSC budget?

A. Yes. We recommend reducing KEDLI's CSC budget by $1.263 million, $1.288 million, and $0.328 million in FY24, the Rate Year, and FY26, respectively.

Q. Explain why the Panel recommends these adjustments.

A. Like KEDNY, KEDLI did not account for any reimbursements from NYC. For the same reasons discussed above, we took the same approach to make an adjustment for KEDLI as we did for KEDNY. Using KEDLI's response to DPS-598 Attachment 3, we calculated the historical reimbursements requested as a percent of the total CSC budget for FY19, FY20, and FY22, which resulted in an average of 10.81 percent. FY 2021 was not used because there were no reimbursements submitted. This results in a reduction of $1.263 million, $1.288 million, and $0.328 million in FY24, the Rate Year, and FY26, respectively. Since these are funds owed to KEDLI pursuant to the CSA, we reiterate that it is incumbent upon New York City to timely and fully reimburse the Companies, and for the Companies to actively pursue the reimbursements to ensure rate payers are made whole.

Leak Prone Pipe

Q. What is KEDNY's Main Proactive Leak Prone Pipe budget proposal?

A. As shown in KEDNY's Exhibit___(GIOP-1CU), KEDNY proposes a total Main Proactive Leak Prone Pipe budget of $186.685 million, $223.396 million, $251.500 million, and $269.894 million, for the Rate Year, FY26, FY27, and FY28, respectively.

Q. What is KEDLI's Main Proactive Leak Prone Pipe budget proposal?

A. As shown in KEDLI's Exhibit___(GIOP-1CU), KEDLI proposes a total Main Proactive Leak Prone Pipe budget of $270.191 million, $287.560 million, $297.829 million, and $311.134 million, for the Rate Year, FY26, FY27, and FY28, respectively.

Q. How have the Companies developed the Rate Year budgets for their Proactive Main Replacement - LPP program?

A. As explained in the Companies' responses to DPS-788 and DPS-789, the Companies took the three-year average of unit costs experienced in FYs 2020 – 2022 and applied annual inflation factors to arrive at a projected Rate Year unit cost. The Companies then applied this unit cost to their projected mileage of replaced LPP.

Q. Does the Panel agree with this method?

A. Generally, we do, however for the same reasons

as discussed above concerning the customer connections category and unit costs, we recommend that FY 2021 data be removed from this calculation as an outlier due to the cost being significantly or abnormally higher than the other years.

Q. Does the Panel have any other recommended adjustments to the proposed budgets for Proactive LPP?

A. Yes, as discussed in Staff's Pipeline Safety Panel's, or SPSP, testimony, the SPSP recommends increasing both Companies' mileage targets. As a result, we recommend increasing the budgets to accommodate the increased LPP targets.

Q. Explain how the Panel developed the budget for the proactive LPP.

A. We developed the budget for proactive LPP using a multi-step process. The first step involved determining the miles of LPP expected to be replaced through the CSC program. The second step involved deducting the milage of LPP forecasted to be replaced from the total LPP targets proposed by Staff's Pipeline Safety Panel. The third step involved multiplying the

unit cost by the forecasted numbers of LPP miles to be replaced through the Proactive Main Replacement - LPP program.

Q. Explain how the Panel forecasted the miles of LPP to be replaced through the CSC program.

A. In KEDNY's response to DPS-948, Attachment 1, the Company provided the number of LPP miles replaced through the CSC program for FYs 2021 – 2023. We then took the total CSC actual expenditures for FYs 2021 – 2023 and divided by the number of LPP miles replaced to calculate the ratio of total CSC expenditures to LPP miles replaced. We applied this ratio to our forecasted CSC budgets to forecast the projected mileage of LPP expected to be replaced through the CSC program.

Q. Explain why it is necessary forecast the mileage of LPP achieved through the CSC.

A. Historically for KEDNY, a large portion of LPP is replaced through the CSC program. It is reasonable to expect the mileage of LPP replaced to correlate with the expenditures for the CSC program.

Q. What is the Panel's forecast of LPP mileage

replacement through the CSC program?

A. We forecast KEDNY will replace 30 miles, 31 miles, 33 miles, 34 miles and 35 miles for FY24, the Rate Year, FY26, FY27, and FY28, respectively, compared to KEDNY's proposed 25 miles per FY from FY 2024 – FY 2028.

Q. Describe the next steps in the Panel's calculation.

A. We deducted our forecasted LPP mileage derived from the CSC budgets by the total LPP targets proposed by Staff's Pipeline Safety Panel. We also deducted the estimated mileage as forecasted by the Companies for other programs such as gas reinforcements and gas reliability to calculate the total miles required through the Proactive LPP. Finally, we multiplied the remaining miles by the estimated unit cost as discussed above to establish the forecasted budgets.

Q. What is the result of the Panel's calculation.

A. For KEDNY, this results in an upward adjustment of $10.105 million, $60.449 million, $112.817 million, and $188.064 million for the Rate Year, FY26, FY27, and FY28 respectively. For KEDLI,

this results in a downward adjustment of $10.980 million, an upward adjustment of $0.816 million, an upward adjustment of $21.021 million and an upward adjustment of $27.958 million for the Rate Year, FY26, FY27, and FY28 respectively.

Pipeline Integrity

Q. Please provide a general description of the Companies' pipeline integrity projects.

A. The Companies propose pipeline integrity projects under two programs: the IMP, and the IVP. For KEDLI there are also additional pipeline integrity projects proposed, like the Northwest Nassau Transmission Main & Control Valve – Phase 3 project.

Q. What did KEDLI propose for the budget for the Pipeline Integrity – Northwest Nassau Transmission Main & Control Valve – Phase 3 project?

A. As shown in KEDLI's Exhibit___(GIOP-1CU), KEDLI proposed $1.750 million in FY24, $72.000 million in the RY, $77.250 million in FY26, $78.850 million in FY27.

Q. How did KEDLI develop the budget for this project?

A. KEDLI developed the budget for this project using actual costs from similar projects. The first budget that was given in KELDI's Exhibit___(GIOP-1CU) was a "level zero" estimate which is based on the initial project scope according to KEDLI's response to DPS-451.

Q. Did KEDLI provide a more detailed cost estimate of the Northwest Nassau Transmission Main & Control Valve – Phase 3 project?

A. Yes. In response to DPS-911, KEDLI provided a more detailed estimate, which showed a reduction in the total cost from $229.850 million to $224.580 million, that represents the life of the entire project. The detailed estimates are then allocated by FY based on activities such as project development and design, permitting, resource availability, long-lead material purchases, gas-outage windows, construction schedules, and project need dates. The estimated cost of the project and schedule will be further refined as the project continues.

Q. Does the Panel recommend any adjustments for this project?

A. Yes. For this project, KEDLI proposed to

replace approximately 4.8 miles of 24-inch diameter 350 psig, or pounds per square inch gauge, main and to downrate and operate the existing 16-inch diameter main at 60 psig. This is similar to the Northwest Nassau Transmission Main & Control Valve – Phase 2 project. In that project, KEDLI proposed to install 3.9 miles of 24-inch diameter 350 psig main and downrated the existing 16-inch diameter main from 350 psig to operate at 60 psig in FY 2019 – 2024. Additionally, KEDLI identified, in response to DPS-911, Attachment 5, that in the Northwest Nassau Transmission Main & Control Valve – Phase 2 project, 4.57 miles of 24-inch diameter welded carbon steel pipe was newly installed. KEDLI plans on completing 4.80 miles of 24-inch diameter welded carbon steel pipe in Phase 3, which is approximately five percent more mileage than Phase 2.

Q. How did the Panel forecast Northwest Nassau Transmission Main & Control Valve – Phase 3 project costs?

A. We forecasted the Northwest Nassau Transmission Main & Control Valve – Phase 3 project cost

using the Phase 2 costs, adjusted for inflation, and increased by five percent to account for the increased mileage of Phase 3.

Q. What are the resulting adjustments from the Panel's recommendation?

A. We recommend a deduction of $7.700 million in FY 25, $8.250 million in FY 26, $8.622 million in FY 27 based on the cost of the Phase 2 project.

Other Mandated Programs

Q. Does the Panel recommend adjustments to any other mandated programs?

A. Yes. We recommend adjustments to the following programs: Main Replacements Reactive Maintenance, Service Replacements – Inactive Accounts, and Service Replacements – Non-Leaks.

Q. Briefly explain the Main Replacements Reactive Maintenance program.

A. The Main Replacements Reactive Maintenance program funds the replacement of smaller sections of main segments and associated services that are identified during leak repairs and could not be repaired by leak clamps.

Q. Briefly explain the Service Replacements – Inactive Accounts Maintenance program.

A. The Service Replacements – Inactive Accounts addresses retirement of the abandoned or inactive services to avoid future damages, leaks, or inadvertent use of gas.

Q. Briefly explain the Service Replacements – Reactive – Non Leaks program.

A. The Service Replacements – Non-Leaks program addresses primarily customer-driven service replacements necessitated by damages, service abandonments, demolition requests, and customer requests to relocate existing services.

Q. Please explain the Panel's adjustment to the budget for the Main Replacements Reactive Maintenance Program for KEDNY.

A. In the response to DPS-792 Attachment 1, KEDNY proposes to use a historic two-year average using FY 2020 and FY 2022, adjusted for inflation, of total expenditures for the Main Replacements Reactive Maintenance Program. We recommend using a historic two-year average, from FY 2019 to FY 2020, adjusted for inflation, to forecast the budgets. We did not use FY 2021, FY 2022, or FY 2023 because the expenditures in those FYs had large fluctuations

that may have been affected by the COVID-19 pandemic. The FY 2019 and FY 2020 actual expenditures more closely align with and better represent the actual expenditures the Companies should anticipate in the future.

Q. Did the Panel have any further adjustments for this category?

A. Yes. Additionally, in KEDNY response to DPS-652, KEDNY stated costs for capital work were inadvertently included in the Service Replacement – Inactive Accounts capital line item when they should have been included in this line item. We added those costs back into this line item. Collectively, this results in a downward adjustment of $0.930 million, $0.954 million, $0.973 million, $0.992 million, and $1.013 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively. Further, the adjustment more closely aligns the project's forecasted budget with KEDNY's historic actual costs.

Q. Please explain the Panel's recommended adjustments to the proposed budgets for Service Replacement – Inactive Accounts program for

KEDNY.

A. In the response to DPS-652 Attachment 1, to forecast the budget for this program, KEDNY used a historic three-year average of costs from FY 2019 – FY 2021. KEDNY also explained the costs for another program were inadvertently included in this line item. We recommend using the most recent three years of actual expenditures from FY 2021 – FY 2023 to forecast the budget and excluding the costs that were inadvertently included as shown in DPS-652 Attachment 1. This results in a downward adjustment of $0.322 million, $0.329 million, $0.335 million, $0.342 million, and $0.348 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively. The adjustment more closely aligns the project's forecasted budget with KEDNY's historic actual costs.

Q. Please explain the Panel's recommended Service Replacements – Non-Leaks adjustment for KEDNY

A. In the response to DPS-654 Attachment 1, KEDNY uses a three-year historic average of actual costs from FY 2020 – FY 2022 to forecast this line item. We identified a consistent

underspend for this line items for FY 2021 – FY 2023 according to KEDNY's response to DPS-654, Attachment 2. Therefore, we recommend using a three-year historic average of actual costs from FY 2021 – FY 2023 to forecast the projected budget. For KEDNY, this results in a downward adjustment of $0.990 million, $1.014 million, $1.034 million, $1.055 million, and $1.076 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively.

Q. Did the Panel make a similar adjustment for KEDLI?

A. Yes. We applied the same methodology for KEDLI's budget. In the responses to DPS-658 Attachment 1, KEDLI used a three-year historic average from FY 2019, FY 2020, and FY 2022 to forecast this line item. We identified a consistent underspend for this line item for FY 2021 – FY 2023 based upon KEDLI's response to DPS-658 Attachment 2. Therefore, we recommend using a three-year historic average of actual costs from FY 2021 – FY 2023 to forecast the projected budget. For KEDLI, this results in a downward adjustment of $0.528 million, $0.540

million, $0.551 million, $0.562 million, and $0.573 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively. The adjustment more closely aligns the project's forecasted budget with KEDLI's historic actual costs.

**Reliability Category**

Q. Summarize the Companies' proposed Reliability category forecasted budget for the Rate Year.

A. As shown in KEDNY's Exhibit___(GIOP-1), KEDNY forecasts total Reliability budgets of $145.171 million, $154.706 million, $87.4005 million, and $78.284 million for the Rate Year, FY26, FY27, and FY28, respectively. As shown in KEDLI's Exhibit___(GIOP-1), KEDLI forecasts total Reliability budgets of $80.573 million, $123.049 million, $94.745 million, and $72.436 million for the Rate Year, FY26, FY27, and FY28, respectively.

Q. What projects are included in this category?

A. This budget category is comprised of several different projects and programs, with the largest expenditures for KEDNY related to Pressure Regulating Facilities, Liquified Natural Gas facilities, and a Gas Reliability

Program. The largest expenditures for KEDLI are comprised of the Pressure Regulating Facilities, Liquified Natural Gas facilities, Gas Reliability Program, and Compressed Natural Gas facilities.

Q. Did the Companies update their Reliability capital expenditures in their C&U filing?

A. Yes. In KEDNY's Exhibit___(GIOP-1CU), KEDNY forecasts total Reliability budgets of $142.363 million, $160.506 million, $109.664 million, and $80.354 million for the Rate Year, FY26, FY27, and FY28, respectively. In KEDLI's Exhibit___(GIOP-1CU), KEDLI forecasts total Reliability budgets of $81.895 million, $124.113 million, $94.745 million, and $72.436 million for the Rate Year, FY26, FY27, and FY28, respectively.

Q. Explain how the Companies developed their Reliability budgets.

A. The Companies' response to DPS-564, describes the methodology the Companies used to develop their capital budgets for projects in the Reliability category. For KEDNY, most of the programs and projects in the Reliability

category, 81 out of 85, utilize program/project estimates to develop their Rate Year forecast, with the remaining four programs/projects utilizing historic spend plus inflation of unit costs. For KEDLI, most of the programs and projects in the Reliability category, 61 out of 64, utilize program/project estimates to develop their Rate Year forecast, with the remaining three programs/projects utilizing historic spend plus inflation.

Q. Does the Panel agree with the methodologies used by the Companies to develop their Rate Year forecasts?

A. Yes. The Panel generally agrees with the methodologies used by the Companies.

Q. Please describe your recommended Reliability category CapEx adjustments.

A. Based on our review of the projects, for KEDNY, we recommend a reduction of $0.607 million, $1.498 million, $3.792 million, $1.968 million, and $3.072 million for FY24, the Rate Year, FY26, FY27, and FY28. For KEDLI, we recommend a reduction of $0.909 million, $1.333 million, $1.370 million, $1.405 million, and $1.418

million for FY24, the Rate Year, FY26, FY27, and FY28. These adjustments reflect the accumulation of our recommended adjustments to the gas reliability program, gas reliability system automation program, and the heater installation program which we will describe now.

Q. Please describe the Companies' Gas Reliability Programs.

A. The Gas Reliability Program are comprised of multiple individual projects. These projects are explained in KEDNY's Exhibit___(GIOP-5) on page 47 and KEDLI's Exhibit___(GIOP-5) on page 42. These projects involve the design, procurement, construction, testing and completion of capital assets such as remote-control shut-off valves, or remote control valves, and upgrades to high-risk single feed pipelines. These projects are aimed at improving overall system reliability.

Q. Explain how the Companies forecast the budget for the Gas Reliability program.

A. As shown in KEDNY's response to DPS-572 attachment 1 and KEDLI's response to DPS-564 attachment 1, the Companies calculate the unit

cost based on a historic three-year average of FY 2020 – FY 2022. As shown in KEDNY's response to DPS-572 attachment 2 and KEDLI's response to DPS-564 attachment 3, the Companies then multiplied the unit cost by the forecasted length of mains to be replaced for these projects

Q. Does the Panel agree with the Companies' methodology?

A. Yes, however, we recommend using a three-year average of FY 2019, FY 2020, and FY 2022. The Panel recommends excluding FY 2021 to reflect the impact of the COVID-19 pandemic, which caused unit costs and contractor costs to be significantly higher than the other years. Using our recommended average provides a more reasonable and accurate forecast of anticipated costs.

Q. What does the Panel recommend regarding KEDNY's Gas Reliability budget?

A. We recommend reducing KEDNY's Gas Reliability budget by $0.214 million, $1.079 million, $3.364 million, $1.532 million, and $2.627 million, for FY24, the Rate Year, FY26, FY27, and FY28,

respectively.

Q. What does the Panel recommend regarding KEDLI's Gas Reliability budget?

A. We recommend reducing KEDLI's Gas Reliability budget by $0.099 million, $0.512 million, $0.317 million, $0.283 million, and $0.228 million, for FY24, the Rate Year, FY26, FY27, and FY28, respectively due to the change in average unit cost as discussed above.

Q. Does the Panel recommend adjustments to any other reliability programs?

A. Yes. We recommend adjustments to the following programs: Gas Reliability – System Automation, and Heater Installation Program.

Q. Briefly explain the Gas Reliability – System Automation program.

A. The Gas Reliability – System Automation program involves increasing the level of automation by installing Remote Terminal Units, or RTUs, at city gates and pressure regulating stations which enhances the ability of the gas control room to recognize abnormal operating conditions and take corrective action.

Q. Briefly explain the Heater Installation program.

A. The Heater Installation program provides funding for improvements and new installations of gas heaters, boilers, and heat exchangers.

Q. Explain your concerns with the Gas Reliability – System Automation Program.

A. The Companies explain in their responses to DPS-564 and DPS-572 that this program's cost was forecasted based on FY 2023 forecast spend plus inflation. However, as shown in the responses to DPS-564 and DPS-572, to date, KEDNY's FY 2023 actual expenditures were 32.05 percent less than the forecasted spend and KEDLI FY 2023 actual expenditures were 58.89 percent less than the forecasted spend. Further, the Companies explained "[t]he forecast was also increased to reflect future changes and upgrades to support work that will be provided by Verizon and AT&T during the term of the rate plan," yet the Companies' fail to elaborate as to what future changes and upgrades may be or are needed to support the work of Verizon and AT&T.

Q. What information did the panel request?

A. In DPS-564 and DPS-572, we asked the Companies to provide all workpapers, including quotes,

bids, or contracts, that support the projected budgets for the Gas Reliability – System Automation program. The Companies did not provide workpapers, quotes, bids, or contracts that support and justify the forecast increase to reflect the future changes and upgrades to support work that will be provided by Verizon and AT&T.

Q. What are the Panel's recommendation for the Gas Reliability – System Automation Program.

A. Since the Companies failed to support the need for the increased budgets and further define what work must be performed by the Companies and Verizon and AT&T, we recommend using a three-year average of actual spend from FY 2021 to FY 2023, adjusted for inflation to determine the budget for this program. Using a three-year average provides the Companies adequate funding to continue this program based on historical spend.

Q. What are the results of the Panel's adjustments to the Gas Reliability – System Automation Program?

A. For KEDNY this results in a reduction of $0.393

million, $0.419 million, $0.427 million, $0.436 million, and $0.445 million, for FY24, the Rate Year, FY26, FY27, and FY28, respectively. For KEDLI this results in a reduction of $0.446 million, $0.450 million, $0.672 million, $0.729 million, and $0.787 million, for FY24, the Rate Year, FY26, FY27, and FY28, respectively.

Q. Please explain the Heater Installation Program adjustment.

A. KEDLI explains, in its response to DPS-566, this program's cost was forecast based on the actual costs of previously completed comparable work multiplied by the number of projects that will be addressed by the program annually, plus inflation. However, KEDLI did not provide a list or number of projects to be completed through this line item.

Q. What does the Panel recommend for KEDLI regarding the Heater Installation Program

A. In KEDLI's response to DPS-566, Attachment 4, we found the Heater Installation Program actual historic spend was much lower than what KEDLI proposes. Additionally, KEDLI failed to support the total project cost, project list, or the

number of projects expected to be completed for this program. Therefore, we recommend using a three-year average, from FY 2020, FY 2021, and FY 2023, adjusted for inflation, to forecast this line item. We excluded FY 2022 because there was no spend for this program in FY 2022.

Q. What are the results of the Panel's adjustments.

A. For KEDLI our adjustments result in a reduction of $0.364 million, $0.371 million, $0.382 million, $0.392 million, and $0.403 million, for FY24, the Rate Year, FY26, FY27, and FY28, respectively.

**Non-Infrastructure Category**

Q. Summarize the Companies' budget for the Non-Infrastructure category.

A. KEDNY forecasts a total Non-Infrastructure budget of $8.648 million, $6.016 million, $6.012 million, and $6.110 million for the Rate Year, FY26, FY27, and FY28, respectively. KEDLI forecasts a total Non-Infrastructure budget of $5.667 million, $4.118 million, $4.075 million, and $4.132 million for the Rate Year, FY26, FY27, and FY28, respectively.

Q. Explain the Non-Infrastructure category.

A. The Non-Infrastructure Category contains expenditures associated with the Telecommunication program which includes Communications Site Upgrades, Radio Capital Expenditures, Radio System Updates, and Reactive Telecommunications work; Tools and Equipment which includes Combustible Gas Indicator, or CGI, Construction, Field operations, Instrumentation & Regulation, or I&R, Learning & Development and Meter Testing.

Q. Please describe how the Companies forecasted the budgets for the Non-infrastructure category?

A. According to the Companies' responses to DPS-485 and 488, concerning the Telecommunications program, the Companies' budget forecast is based on the FY 2023 forecasts with an escalating inflation factor. Concerning the Tools and Equipment, excluding Construction and Field Operation budget, the Companies' forecast is based on the estimated cost for the projected incremental employee need for specific tools. Concerning the Tools and Equipment budget for Construction and Field Operation, the Companies' forecast is based on the average of FY 2020 and

FY 2022 with an inflation adjustment. Finally, concerning Meter Testing Equipment, the Companies' forecast is based on FY 2023 forecasts with escalating inflation.

Q. Does the Panel agree with the Companies' forecasted budget for the Non-Infrastructure category?

A. No. We do not agree with the Companies' forecasted budget for the Telecommunications program nor the Tools and Equipment Construction and Field Operations line items.

Q. Please explain why the Panel does not agree with the Companies forecast for the Telecommunications program budget.

A. The Companies' budget forecast is based on the FY23 forecasts with an escalating inflation factor. This method is inconsistent with the method the Companies used for other programs. Additionally, developing a forecast for the RY based on a forecast for a previous year is not reasonable. The Companies could either overspend, or underspend, even wildly but keep the same forecast for the Telecommunications budget. The Companies' method is not indicative

of actual costs incurred nor does it reflect any potential changes in program need or cost.

Q. What does the Panel recommend for the Telecommunications program?

A. We recommend using a three-year average of actual historic spending from FY19, FY20, and FY22, adjusted for inflation. We excluded FY 2021 as an outlier due to the cost being significantly lower than the other years. This is consistent with the methodology we used for other programs.

Q. What is the resulting adjustment from the Panel's recommendation.

A. For KEDNY this results in a downward adjustment of $0.101 million, $0.103 million, $0.104 million, $0.106 million, and $0.107 million, for FY24, the Rate Year, FY26, FY27, and FY28. For KEDLI this results in a downward adjustment of $0.085 million, $0.107 million, $0.110 million, $0.111 million, and $0.112 million, for FY24, the Rate Year, FY26, FY27, and FY28.

Q. Please explain why the Panel does not agree with the Companies forecast for the line item Tools and Equipment for Construction and Field

Operations.

A. We do not agree because as shown in the Companies' responses to DPS-485 Attachment 1 and DPS-488 Attachment 1, the Companies' forecast is based on the average of FY20 and FY22, adjusted for inflation, which is inconsistent with their forecasting methodology for other projects. Further, the Companies did not explain why they did not use consecutive two-year averages.

Q. What does the Panel recommend for the Tools & Equipment program?

A. We recommend using a three-year average based on the actual historic spending from FY 2020 – FY 2022. We contend this is a more accurate representation of historic actual expenditures and is consistent with our proposed methodology for other programs.

Q. What are the resulting adjustments from the Panel's recommendations?

A. For KEDNY this results in a downward adjustment of $0.492 million, $0.523 million, $0.534 million, $0.544 million, and $0.555 million, for FY24, the Rate Year, FY26, FY27, and FY28. For KEDLI this results in a downward adjustment of

$0.416 million, $0.426 million, $0.435 million, $0.443 million, and $0.452 million, for FY24, the Rate Year, FY26, FY27, and FY28.

Q. Please summarize your overall adjustments to the Non-Infrastructure budget category.

A. For KEDNY, we recommend reducing the Non-Infrastructure category by $0.593 million, $0.626 million, $0.638 million, $0.650 million and $0.663 million for FY24, the Rate Year, FY26, FY27, and FY28. For KEDLI, we recommend reducing the Non-Infrastructure category by $0.501 million, $0.533 million, $0.544 million, $0.554 million and $0.564 million for FY24, the Rate Year, FY26, FY27, and FY28.

**Advanced Communication Infrastructure Category**

Q. What is the Companies' Rate Year forecast for the Advanced Communication Infrastructure category?

A. In KEDNY's Exhibit___(GIOP-1), KEDNY forecasts the total Advanced Communication Infrastructure budget to be $3.305 million, $6.742 million, $18.436 million, and $27.340 million, for the Rate Year, FY26, FY27, and FY28, respectively. In KEDLI's Exhibit___(GIOP-1), KEDLI forecasts

the total Advanced Communication Infrastructure budget to be $3.580 million, $7.709 million, $18.280 million, and $26.149 million, for the Rate Year, FY26, FY27, and FY28, respectively.

Q. Does Staff agree with the Companies' forecasted budget for the Advanced Communication Infrastructure category?

A. No, Staff does not agree with the Companies' forecasted budget. Staff's recommendations and adjustments for the Companies' AMI programs are further discussed in the Staff Policy Panel's and Staff Pipeline Safety Panel's testimony.

Q. What is the impact of the Panel's recommended adjustment?

A. The recommended adjustment will reduce KEDNY's budget by $3.305 million, $6.742 million, $18.436 million, and $27.340 million, for the Rate Year, FY26, FY27, and FY28. The recommended adjustment will reduce KEDLI's budget by $3.580 million, $7.709 million, 18.280 million, and 26.149 million, for the Rate Year, FY26, FY27, and FY28.

**Future of Heat Category**

Q. Summarize the Companies' Rate Year forecast for

the Future of Heat Category.

A. In KEDNY's Exhibit___(GIOP-1), KEDNY forecasts the total Future of Heat budget to be $2.231 million, $9.294 million, $1.828 million, and $1.821 million, for the Rate Year, FY26, FY27, and FY28, respectively. In KEDLI's Exhibit___(GIOP-1), KEDLI forecasts the total Future of Heat budget to be $9.454 million, $4.916 million, $2.335 million, and $2.349 million, for the Rate Year, FY26, FY27, and FY28, respectively.

Q. Explain what projects are included in this category.

A. The Future of Heat portion of the Companies' capital investment plan comprises investments in Renewable Natural Gas, or RNG, interconnections to support the energy transition, decarbonize the gas supply, and reduce emissions. KEDNY proposes two RNG interconnections to permit injections of RNG into its gas network. KEDLI is proposing two RNG interconnections.

Q. Does the Panel have any adjustments to the budgets for the RNG Interconnection projects?

A. Yes. Staff's Gas Reliability and Supply Panel

recommends removal of all RNG Interconnection project capital expenditure spending and allowing recovery through a surcharge mechanism which is capped at the projected capital costs as shown in the Companies' response to Exhibit___(GIOP-1), or of $14.003 million and $11.209 million for KEDNY and KEDLI, respectively. As such, we updated the budget accordingly.

Q. Does Staff's Gas Reliability and Supply Panel have any other recommendations for the projects contained in the Future of Heat category?

A. Yes. As discussed in the Staff Gas Reliability and Supply Panel's testimony, Staff recommends delaying the Hydrogen Blending Project in Long Beach for KEDLI, by a year. The Staff Gas Reliability and Supply Panel also recommend capping this project's cost at the cost as shown in KEDLI Exhibit___(GIOP-1), or $13.026 million dollars. As such, we moved the spending for this project from FY24 and FY25 to FY25 and FY26.

Q. What does the Panel recommend the Future of Heat budget be for FY24, the Rate Year, FY26, FY27,

and FY28?

A. Our adjustments reduced KEDNY's budget by $2.161 million, $9.243 million, $1.792 million, and $1.808 million, for the Rate Year, FY26, FY27, and FY28. Our adjustments resulted in changes to KEDLI's budget by a downward $6.274 million, a downward $3.142 million, an upward $1.864 million, a downward $2.315 million, and a downward $2.342 million, for the Rate Year, FY26, FY27, and FY28.

**Operator Qualification (OQ) Program Category**

Q. Summarize the Companies' Rate Year forecast for the OQ Program category.

A. In KEDNY's Exhibit___(GIOP-1), KEDNY forecasts the total OQ Program budget to be $12.821 million, $12.979 million, $13.219 million, and $13.467 million, for the Rate Year, FY26, FY27, and FY28, respectively. In KEDLI's Exhibit___(GIOP-1), KEDLI forecasts the total OQ Program budget to be $8.858 million, $8.939 million, $9.104 million, and $9.275 million, for the Rate Year, FY26, FY27, and FY28, respectively.

Q. Explain this category.

A. The OQ Program portion of the Companies' capital investment plan are the expenses associated with new increased requirements for Operator Qualifications including Tools & Equipment for Learning & Development, FTEs for Learning and Development, Operator Contract Increases, FTEs for Operations, Industrial Training Services System Pipeline Safety, and FTEs for Pipeline Safety. More detailed information regarding the Commission's OQ requirements are discussed in the Staff Pipeline Safety Panel's testimony. The Companies' proposed Operator Qualification programs are the incremental costs associated with the implementation of the recent OQ order.

Q. Please describe how the Companies forecast the OQ Program budget for the Rate Year and subsequent FYs.

A. According to the Companies' responses to DPS-589 and DPS-593 the Companies forecast the OQ Program – Learning & Development – Tools & Equipment budgets are based on historic spending with specific adjustments to incorporate the additions to training and performance evaluations based on the Commission's Memorandum

and Resolution Adopting Amendments to 16 NYCRR Part 255, issued on March 18, 2022, in Case 19-G-0736, or the OQ Order. Also, the Companies' forecasted the Contract Increases based on a baseline of annual contract costs multiplied by a percentage determined by the total number of work types impacted by the increased requirements of the Commission's OQ order. Further, the Companies' forecast the OQ Program – Pipeline Safety – Industrial Training Services System based on the anticipated user database fees multiplied by the number of in-house employees and contractors that will use the resource. Finally, the Companies' forecasted the cost associated with OQ FTEs by using the low – to - average midpoint salary for the position multiplied by the Companies' projects number of FTEs.

Q. Does the Panel agree with the Companies' forecasted budget for the OQ Program category?

A. No. We do not agree with the Companies' forecasted budget for the OQ Program - Operations - Contract Increases.

Q. Please explain why the Panel does not agree with

the budget for the OQ Program - Operations - Contract Increases.

A. In KEDNY's response to DPS-593, Attachment 3 and KEDLI's response to DPS-589, Attachment 3, the Companies are estimating a meager increase in costs of five percent for Mains & Services and Complex projects, contending that the impact of the OQ Order can vary as some functions of work can require significantly more or less OQs than others to perform. The Companies failed to fully explain or justify the assumption of the five percent minimum increase in costs for these types of projects.

Q. What does the Panel recommend?

A. We recommend using the assumption of a minimum increase of two percent which is consistent with the percentage increase the Companies used to develop budgets for other projects such as Service Line, Leak Survey, and Damage Prevention.

Q. What does the Panel recommend the OQ Program budget be for the Rate Year?

A. We recommend reducing the Companies budget for OQ Program - Operations - Contract Increases.

For KEDNY, we reduce the budget by $7.000 million, $7.136 million, $7.268, and $7.404 million for the Rate Year, FY26, FY27, and FY28, respectively. For KEDLI, we reduce the budget by $5.000 million, $5.097 million, $5.191 million, and $5.289 million for the Rate Year, FY26, FY27, and FY28, respectively.

**Indirect**

Q. Summarize the Companies' proposed Indirect category budget forecasts.

A. As shown in KEDNY's Exhibit___(GIOP-1), KEDNY forecasts a total Indirect budget of $25.760, $51.224 million, $35.018 million, $42.352 million, and $33.227 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively. As shown in KEDLI's Exhibit___(GIOP-1), KEDLI forecasts total Indirect CapEx of $11.654, $11.592 million, $11.341 million, $8.901 million, and $12.281 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively.

Q. Did the Companies update their Indirect capital expenditures?

A. Yes. In KEDNY's Exhibit___(GIOP-1CU), KEDNY forecasts a total Indirect budget of $25.760,

$49.249 million, $34.653 million, $39.137 million, and $34.247 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively. In KEDLI's Exhibit___(GIOP-1CU), KEDLI forecasts a total Indirect budget of $11.654, $11.782 million, $8.856 million, $9.166 million, and $9.781 million for FY24, the Rate Year, FY26, FY27, and FY28, respectively. The variance between the Companies' C&U and initial filing reflects updates to the "Facilities – EV Charging" program.

Q. Please describe the projects included in the Companies' proposed Indirect budget.

A. According to the Companies' GIOP direct testimonies, the capital spending proposed in their filing is needed to address both normal wear and tear as well as to replace end-of-life building systems and materials across an aging facilities portfolio. The Indirect portion of the Companies' capital investment plan is comprised of several different projects, with the largest spending for KEDNY related to Greenpoint Infrastructure, Greenpoint Masterplan-Execution, and Bay Ridge facility.

The largest expenditures for KEDLI are comprised of Melville Hub Drive, or NY-MEL-25-Melville-Hub-Asset Renewal-Replacement project, and the Learning & Development, or L&D, Pipeline OQ Training Center Long Island Training Facility.

Q. Does the Panel have any concerns with the Companies' proposed Indirect capital expenditures?

A. Yes. The project descriptions provided in the Companies' direct GIOP testimonies and in KEDNY's Exhibit___(GIOP-9) and KEDLI's Exhibit___(GIOP-8) include an annual capital spending forecast through FY28. While the Companies are responsive to Staff's information requests, the responses did not contain sufficient detailed information for Staff to complete its thorough review for certain projects.

Q. What projects lacked sufficient information?

A. For KEDNY, the projects lacking sufficient information are the: (1) Staten Island 200 Asset Renewal – Replacement; and (2) L&D Pipeline OQ Training Center. For KEDLI, the projects lacking sufficient information are the: (1) NY –

MEL-25-Melville-Hub-Asset Renewal-Replacement; (2) L&D Pipeline OQ Training Center Long Island Training Facility; and (3) I&R Training-KEDLI projects.

Q. Explain the KEDNY projects Staten Island 200 Asset Renewal – Replacement and L&D Pipeline OQ Training Center.

A. According to KEDNY's response to DPS-774, the Staten Island 200 Asset Renewal - Replacement project is required for asset renewal investments to repair and replace broken and deteriorating building structures and critical building systems. This will target electrical equipment upgrades, window replacement, and façade repairs. According to KEDNY's response to DPS-771, the L&D Pipeline OQ Training Center investment will be for a mix of classroom and hands-on training space that will include necessary equipment and associated parking.

Q. Explain the KEDLI projects NY – MEL-25-Melville-Hub-Asset Renewal-Replacement, L&D Pipeline OQ Training Center Long Island Training Facility, and I&R Training-KEDLI projects.

A. According to KEDLI's response to DPS-719, the NY

– MEL – 25 – Melville Hub-Asset Renewal-Replacement project includes investments to upgrade aging and deteriorating building structures and address critical building systems in need of repair at the Melville Hub facility. According to KEDLI's response to DPS-720, the L&D Pipeline OQ Training Center Long Island Training Facility includes building two new classrooms, laboratories, and associated office space, that will be converted from existing excess training space formerly used by other functions. This investment will increase the training space by approximately 3,000 square feet and therefore, increase the training capacity. According to KEDLI's response to DPS-721, the I&R Training-KEDLI project includes a hands-on training area that will allow trainees to work with regulator station pressure valves and tools, and a simulation area to support training for live pressure installations, repair, and maintenance activities.

Q. Explain how the budgets for these projects lacked useful supporting documents.

A. To determine the basis for the Companies'

forecasted costs, we submitted numerous interrogatories, including DPS-480 and DPS-481, which requested "a detailed breakdown of the estimated labor, material & supply, accounts payable, and any other related costs and to include any supporting documents or workpapers" for each of the Facilities projects. We also submitted follow-up requests, DPS-719, DPS-720, DPS-721, DPS-771, and DPS-774, that requested a cost breakdown of major Facilities projects proposed by the Companies.

Q. How did the Companies respond to these requests?

A. In response to DPS-480 and DPS-481, the Companies state that the forecast was drawn from historic work and/or was prepared based on a cost per square foot performance basis, informed by a consultant report, as shown in the responses to DPS-480, Attachment 4 and DPS-481 Attachment 5. The report was prepared by the Companies' property strategy consultant, Jones Lang LaSalle IP, Inc., or JLL. The report included a current, progressive range of office fit-out costs. The Companies' responses to DPS-719, DPS-720, DPS-721, DPS-771 and DPS-774

indicated that the Companies used the estimated mid-range price per square foot of office fit out costs for the New York City area prepared by JLL as seen in the responses to DPS-480 Attachment 4, Appendix B and DPS-481 Attachment 5, Appendix B to develop its forecast. However, the Companies failed to tie this office fit out cost to the forecasted budgets as seen in KEDNY's Exhibit___(GIOP-1).

Q. Does the Panel have any concerns about the cost estimating using the JLL report?

A. Yes. In the responses to DPS-480 Attachment 4, page 5 and DPS-481 Attachment 5, page 5, the JLL report states "[t]his guide is a comprehensive data-driven reference that provides a comparison of average fit out costs across major U.S. and Canadian markets." Further, in the response to DPS-481 Attachment 5, page 5, the JLL report states, "[t]his guide is not a cost estimating or cost of occupancy tool. Fit out costs can vary greatly based on the scope and requirements of the user. This guide provides a holistic picture of how various geography and fit out decisions can affect your bottom line." Since

the proposed capital work as described above varies between projects and is specific to the scope of work forecasted to be done, we contend using an average fit out cost is not a reliable way to forecast the costs for these projects. Estimating costs based on a general office fit out cost could result in an inaccurate forecast. Therefore, we were unable to determine precisely how the Companies forecasted these costs, or if that forecast produced reasonable results.

Q. What is the Panel's recommendations to the Indirect budget regarding these projects?

A. We recommend removing the spending associated with these projects as it is not clear how the Companies forecasted capital costs and, as such, it is not appropriate to include these capital expenditures in the plant models used to develop rate base. For KEDNY, we recommend removing the spending associated with: (1) Facilities - Staten Island 200 Asset Renewal – Replacement; and (2) Facilities - L&D Pipeline OQ Training Center projects. For KEDLI, we recommend removing the associated spending with: (1) Facilities – NY – MEL-25-Melville-Hub-Asset

Renewal-Replacement; (2) Facilities – L&D Pipeline OQ Training Center Long Island Training Facility; and (3) Facilities-I&R Training-KEDLI projects.

Q. How does the Panel's recommendation for these projects affect the Companies' Indirect budget?

A. For KEDNY, we recommend a downward adjustment of $7.700 million, and $5.200 million in the Rate Year, and FY26, respectively. For KEDNY we recommend a downward adjustment of $0.150 million, $5.300 million, $3.100 million, $4.100 million, and $4.600 million in FY24, the Rate Year, FY26, FY27, and FY28, respectively.

Q. Does the Panel have any other recommendations to the Indirect category?

A. Yes, we recommend adjustments to the proposed budgets for KEDNY's Greenpoint Infrastructure program, as well as the Greenpoint Masterplan – Execution project.

Q. Describe the Greenpoint investments KEDNY proposes.

A. In KEDNY's GIOP's direct testimony, on page 89, KEDNY identifies Greenpoint investments as "[a] multi-year investment that includes a master

planning project, infrastructure improvements, and safety-driven work." Further, in KEDNY's response to DPS-481 and DPS-775, KEDNY indicated that the Greenpoint Infrastructure budget is comprised of a collection of improvements that seek to update basic building systems essential for KEDNY's day-to-day operations.

Q. What was KEDNY's proposed budgets for these projects?

A. As shown in Exhibit___(GIOP-1), KEDNY proposes a spending level of $12.125 million per year in the Rate Year, FY26, FY27, and FY28, related to the Greenpoint Infrastructure improvements. KEDNY also proposed spending $1.000 million in FY24, $4.600 million in the Rate Year, $10.300 million in FY26, $17.500 million in FY27, and $10.000 million in FY28 for the Greenpoint Masterplan - Execution.

Q. Did KEDNY provide additional details on the Greenpoint Infrastructure investments?

A. Yes. The response to DPS-481, Attachment 10 provided a detailed breakdown of the budget by scope of work and indicates that this program addresses various infrastructural work for

twelve buildings in the Greenpoint campus. In response to DPS-945, KEDNY explained that in its initial filing, the total costs of the Greenpoint Infrastructure projects were levelized across FYs 2025 - 2028, at $12.125 million for each year. In the response to DPS-945, Attachment 1, KEDNY provided an updated annual expenditure forecast for the work which prioritizes the investment cost by year based on building need and criticality. The updated expenditures are $6.329 million in FY25, $15.476 million in FY26, $15.265 million in FY 2027, and $9.454 million in FY28, excluding inflation.

Q. Does the Panel recommend any adjustments to the Greenpoint Infrastructure project?

A. Yes. First, we recommend adjusting the budget to align with KEDNY's updated forecast of expenditures as shown in response to DPS-945, Attachment 1, adjusted for inflation. We agree that this is a more accurate forecast of the scope of work to be completed throughout the Rate Year and subsequent FYs. This adjustment results in a reduction of $5.527 million for the Rate Year, an increase of $4.009 million for

FY26, an increase of $3.788 million for FY27, and a reduction of $2.269 million for FY28.

Q. Does the Panel have any additional adjustments to the Greenpoint Infrastructure project?

A. Yes, we made an additional adjustment based on KEDNY's historical expenditures. We reviewed the Companies' responses to DPS-122 and DPS-370 and found that KEDNY historically underspent its budget in the Indirect category. We calculated that KEDNY underspent its Indirect budget by an average of 41.56 percent in FYs 2021 – 2023.

Q. Why is using historical data relevant to the Greenpoint Infrastructure project?

A. Historical data shows KEDNY's performance in completing the scope of work planned for these types of projects. KEDNY consistently failed to complete the projects in this category and underspends its budgets. The Greenpoint Infrastructure project anticipates completing extensive infrastructure repairs at multiple buildings on an annual basis. Further, the scope of work at each building encompasses the full spectrum of construction trades which will require extensive planning, engineering,

logistics, construction phasing, and material lead times to execute the work at each building. Based on KEDNY's historical expenditures and past performance, it is unlikely KEDNY will complete all the work as proposed.

Q. What is the Panel recommending for an additional adjustment for the Greenpoint Infrastructure project?

A. Consistent with our concerns raised above, and in consideration of the fact that KEDNY has historically underspent its Indirect budgets, we recommend reducing the Greenpoint Infrastructure project budget by an additional 20 percent in the Rate Year and subsequent FYs. This results in a further reduction of $1.320 million for the Rate Year, $3.227 million for FY26, $3.183 million for FY27, and $1.971 million for FY28.

Q. Please summarize the total capital budget impact for the Greenpoint Infrastructure.

A. In total, our recommendations result in a downward adjustment of $6.847 million in the Rate Year, an upward adjustment of $0.782 million in FY26, an upward adjustment of $0.606 million in FY27, and a downward adjustment of

$4.240 million in FY28.

Q. In addition to Greenpoint Infrastructure, did KEDNY propose any long-term construction plans to the Greenpoint campus?

A. Yes, KEDNY proposes a Greenpoint Masterplan – Execution project which includes building new facilities across its Greenpoint campus and demolishing certain existing facilities. In response to DPS-772, KEDNY explained that the Greenpoint Masterplan – Execution project is multi-phased and addresses a range of infrastructure and building system deficiencies. KEDNY explains this project "seeks to achieve a safe working environment at all buildings and the broader Greenpoint site, targeting improvements and replacements in a cost-effective manner while seeking to enhance public and employee safety and wellbeing." KEDNY proposes to spend an estimated $1.000 million in FY24, $4.600 million in the Rate Year, $10.300 million in FY26, $17.500 million in FY27, and $10.000 million in FY28 for the Greenpoint Masterplan - Execution.

Q. Does the Panel have any concerns regarding the

Greenpoint Masterplan - Execution?

A. Yes. KEDNY's response to DPS-481 and DPS-772 indicated that the estimate was prepared by KEDNY's engineering and property consultants, Burns McDonnell and JLL. While KEDNY provided a total cost estimate prepared by the consultants in the responses to DPS-481, Attachment 11 and DPS-772, Attachment 1, it did not include any workpapers and supporting documents to show how these cost estimates were forecasted as seen in Exhibit___GIOP-1. Additionally, the project elements listed in KEDNY's response to DPS-481, Attachment 11 and DPS-772, Attachment 1, are inconsistent, which further indicate that this project is still in its preliminary phase of planning and the scope of project elements depends on the approval of other projects, such as the Long Island Warehouse project. Furthermore, the Greenpoint Masterplan in its later phases seeks to demolish buildings the Greenpoint Infrastructure project mentioned previously that it will repair and/or upgrade. The Panel contend it is not prudent to approve enhancements and then also approve of a project

to demolish the same buildings within the next five years.

Q. Please explain the inconsistencies in the project elements described in KEDNY's response regarding the Greenpoint Masterplan – Execution.

A. In response to DPS-481 Attachment 11, KEDNY included a New Weld shop as part of phase 1 of the Greenpoint Masterplan – Execution, however, in the response to DPS-772, Attachment 1 the Weld Shop was not included as part of phase 1 of the project. Additionally, the size of the planned warehouse to be constructed as part of the project was decreased significantly. Finally, the total cost estimates of the project changed as well.

Q. What does the Panel recommend regarding the Greenpoint Masterplan – Execution project?

A. We recommend removing this project because the Greenpoint Infrastructure project will address the Greenpoint facilities and further recommend that KEDNY reevaluate the need for the Greenpoint Masterplan after the completion of the Greenpoint Infrastructure project. In addition, since KEDNY has inconsistent budget

estimates for this project, we recommend reducing KEDNY's budget by $4.600 million in the Rate Year, $10.300 million in FY26, $17.500 million in FY27, and $10.000 million in FY28.

Q. Please summarize the total capital budget impact for the Greenpoint Masterplan - Execution.

A. In total, the Panel's recommendations result in a downward adjustment of $4.600 million in the Rate Year, $10.300 million in FY26, and 17.500 million in FY27, and 10.000 million in FY28.

Q. Does the Panel have any additional adjustments to the Indirect category?

A. Yes. In response to DPS-916, KEDNY identified that the line-item Facilities – Greenpoint – Guard Booth/Front Entrance Beautification should be removed as it is reflected in the FY24 Facilities - Greenpoint Masterplan – Execution line item. As a result, we cut this line item and reduced the Indirect category FY24 budget by $1.300 million.

Q. What does the Panel recommend for the Indirect budget for FY24, the Rate Year, FY26, FY27, and FY28?

A. We recommend KEDNY's budget be reduced by $1.300

million, $19.147 million, $14.718 million, $16.894 million, and $14.240 million, for the FY24, Rate Year, FY26, FY27, and FY28. We recommend KEDLI's budget be reduced by $0.150 million, $5.300 million, $3.100 million, $4.100 million, and $4.600 million, for the FY24, Rate Year, FY26, FY27, and FY28.

Q. Does the Panel have any other adjustments related to the Companies' capital expenditure budget?

A. No. However, as discussed in the Staff Forecasting and Inflation Panel, Staff recommends that the inflation rate be updated prior to the conclusion of this proceeding using the Blue-Chip Consensus forecast. In the event the updated inflation rate results in a material change in the forecast of costs, we recommend the budgets for any capital projects that rely on the inflation rates be updated accordingly.

**Capitalization Policy**

Q. Are the Companies proposing any changes to the existing capitalization policies for main installation?

A. Yes. KEDNY and KEDLI are proposing to

capitalize all joint repairs on large diameter cast iron pipes that are 16 inches and larger. Currently these joint repairs are expensed.

Q. Why are the Companies proposing to capitalize all joint repairs on large diameter cast iron pipes 16 inches and larger?

A. In KEDNY's GIOP's direct testimony on pages 86-87, and KEDLI's GIOP's direct testimony on page 87, the Companies state that the repairs performed to address joint failures typically involve encapsulation, which extends the useful life and integrity of the asset.

Q. What is the Panel's recommendation regarding the Companies' proposal?

A. This change will align the accounting treatment of joint repairs on large diameter cast iron pipes with how the Companies currently capitalize the Cast Iron Sealing Robot or CISBOT and the repair of joints 48 inches or larger. Additionally other distribution companies, in other jurisdictions, such as in Rhode Island and Massachusetts, capitalize joint repairs on large diameter cast iron pipes. Therefore, we support the Companies' proposed modification.

**Net Plant in Service and Depreciation Expense**

Q. Did the Companies develop a model to forecast the average net utility plant in service and depreciation expense for the Rate Year?

A. Yes. The Companies provided Exhibit___(RRP-7), Schedule 1, which contains the models they used to develop the forecast of net utility plant in service.

Q. Did the Companies provide an updated net plant model?

A. Yes. the Companies provided updated models as shown in Exhibit___(RRP-7CU), Schedule 1.

Q. What are the Companies' projections for net utility plant in service and depreciation expense for the Rate Year?

A. KEDNY projected $8.224 billion and $211.016 million for gas net utility plant in service and in annual gas depreciation expense, respectively. KEDLI projected $5.492 billion and $146.152 million for gas net utility plant in service and in annual gas depreciation expense, respectively. These projections are based on actual inputs as of June 30, 2023.

Q. Did the Panel verify the Companies' projections?

A. Yes. We reviewed the plant in service models to verify their accuracy.

Q. Did the Panel develop its own forecasts of net utility plant in service and depreciation expense for the Rate Year?

A. Yes.

Q. How did the Panel develop its forecast of net utility plant in service and depreciation expense for the Companies?

A. We modified the Companies' models to reflect our recommended adjustments to the capital budgets, as shown in Exhibit___(SGIOP-2), and depreciation rates as recommended by Staff Witness Paul Darmetko in his testimony. The results are shown on Exhibit___(SGIOP-3).

Q. Please explain what is shown on page one of Exhibit___(SGIOP-3).

A. Exhibit___(SGIOP-3) summarizes the projected monthly plant in service balances for additions, non-interest-bearing construction work in progress, accumulated depreciation reserve, net utility plant in service, and depreciation expense. This yields the overall average net utility plant in service upon which the

Companies should be allowed a return, as well as the level of annual depreciation expense.

Q. What are the Panel's Rate Year projections for gas net utility plant in service and gas depreciation expense?

A. For KEDNY we project $8.199 billion and $204.759 million for gas net utility plant in service and annual gas depreciation expense, respectively. For KEDLI we project $5.477 billion and $139.845 million for gas net utility plant in service and annual gas depreciation expense, respectively.

Q. How do the Panel's recommendations compare to the Companies' Corrections and Updates filings?

A. We recommend adjustments that, in total, reduce KEDNY's Rate Year average gas net plant in service by $25.063 million, and reduce its annual gas depreciation expense by $6.257 million. We recommend adjustments that, in total, reduce KEDLI's Rate Year average gas net plant in service by $14.776 million and reduce its annual gas depreciation expense by $6.308 million.

**Incremental Non-Labor O&M Expenses**

Q. Describe the scope of the Panel's review related

to O&M expense.

A. We reviewed the Companies' proposed incremental expenses related to: (1) Pipeline Integrity - IMP/ IVP; (2) Disconnects & Reconnects; (3) Tools & Equipment; (4) Main Protection - Storm Hardening - Install Remote Service Shutoff Valves; (5) Advanced Communications Infrastructure – AMI Network; and (6) Advanced Communications Infrastructure – Smart Meter. The incremental O&M related to other programs are addressed in other Staff panels.

Q. Please summarize the Companies' O&M expenses forecast for these items in the Rate Year.

A. In the Companies' GIOP's C&U testimonies, KEDNY forecasts total incremental non-labor operating expenses of $14.743 million, for the Rate year, for GIOP programs, as shown in KEDNY's Exhibit___(GIOP-7CU). KEDLI forecasts total incremental non-labor operating expenses of $5.257 million, for the Rate year, for GIOP programs, as shown in KEDLI's Exhibit___(GIOP-6CU).

Q. Is the Panel Recommending any adjustments to the proposed O&M.

A. Yes. We recommend non-labor operating expense reductions of $1.249 million and $1.070 million for KEDNY and KEDLI, respectively. Specifically, we recommend reducing the O&M budget related to Tools & Equipment and Advanced Communications Infrastructure – AMI Network for both KEDNY and KEDLI.

Q. Please describe the Panel's recommended adjustment to the incremental non-labor O&M in the Rate Year for Tools & Equipment.

A. The incremental non-labor O&M expense for Tools & Equipment is directly linked to the incremental GIOP & Gas Safety FTEs as indicated in the Companies' response to DPS-725 and DPS-726. Therefore, we adjusted the O&M expense by the reduced number of incremental GIOP and Gas Safety FTEs as shown in Staff's Revenue Requirement Exhibit___(SRRP-4). Accordingly, we recommend a downward adjustment of $0.249 million and $0.070 million in the Rate Year for KEDNY and KEDLI respectively.

Q. Please describe the Panel's recommended adjustment to the incremental non-labor O&M in the Rate Year for Advanced Communications

Infrastructure – AMI Network.

A. As discussed in Staff's Policy Panel testimony, Staff recommended this project be removed. Accordingly, the Staff Policy Panel recommend removing the O&M budget associated with this program in the Rate Year. We, therefore, made downward adjustments of $1.000 million and $1.000 million in the Rate Year for KEDNY and KEDLI respectively.

**Incremental FTE's**

Q. Describe the scope of the Panel's review in regard to the Companies' proposed incremental FTEs.

A. We reviewed the Companies' proposed FTE requests for the following programs: (1) CSC; (2) Pressure Regulating/ Liquified Natural Gas facilities /Compressed Natural Gas; (3) Resource Coordination; (4) Stakeholder Engagement; (5) Transmission Engineering; (6) Investment Planning; (7) Warehouse Downstate New York, or DNY; and (8) Facilities DNY. The FTEs for other programs are specifically addressed in Staff's other Panels.

Q. Does the Panel have adjustments to the proposed incremental FTEs proposed by KEDNY and KEDLI.

A. Yes. For KEDNY, we recommend the proposed incremental FTEs be reduced by 14. Our adjustments reflect our proposed adjustments to FTEs in the following categories: (1) CSC; (2) Warehouse DNY; and (3) Resource Coordinator. For KEDLI, we recommend the proposed incremental FTEs be reduced by six. Our adjustments reflect our recommendations to FTES in the following categories: (1) CSC; and (2) Facilities DNY.

Q. Please explain the Panel's recommendations for FTEs related to KEDNY's CSC.

A. As shown in the response to DPS-932, Attachment 2, KEDNY calculated the incremental FTEs for this program based on the FY22 CSC capital expenditures and FTEs. We calculated the incremental FTEs for this program based on the FY23 CSC capital expenditures. The FY25 capital expenditure budget is lower than that of FY23. Therefore, we eliminated KEDNY's forecast of incremental FTEs associated with the CSC program.

Q. Please explain the Panel's recommendations for FTEs related to KEDLI's CSC.

A. As shown in the response to DPS-933, Attachment

2, KEDLI calculated the incremental FTEs for this program based on the FY22 CSC capital expenditures. We calculated the incremental FTEs for this program based on the FY23 CSC capital expenditures. The FY25 capital expenditure budget is lower than that of FY23. Therefore, we eliminated KEDLI's forecast of incremental FTEs associated with the CSC program.

Q. Please explain the basis for the KEDNY Warehouse DNY recommendations.

A. We recommend removing the two FTEs KEDNY requested. Currently, KEDLI and KEDNY share a warehouse at KEDNY's Greenpoint facilities. KEDNY proposes two new FTEs to receive, handle, store, and disburse inventory, and cycle count gas transmission and distribution material, tools, and equipment associated with the increased capital investments and projects at the Greenpoint Warehouse. On page 89 of KEDLI's GIOP's direct testimony, KEDLI proposes Long Island Warehouse project, which will lease a 100,000 square foot warehouse. This will alleviate operations at the KEDNY warehouse and

therefore, KEDNY should be able to reassign FTEs that previously performed duties related to KEDLI's materials handling. Therefore, we removed the two FTEs associated with the Warehouse DNY for KEDNY.

Q. Please explain why KEDNY is requesting the additional FTEs for Resource Coordinator.

A. In the response to DPS-934, Attachment 1, KEDNY explains it is requesting two incremental FTEs due to the increase of capital spend. KEDNY explains further that the FTEs are intended to assist in the delivery of the capital plan and aid in coordinating all aspects of plan implementation. In the response to DPS-934, KEDNY states, the third incremental FTE will be used to coordinate and schedule the I&R workload, which has not been coordinated in the past, and that coordination is needed due to an increased work volume stemming from low-pressure valve inspections.

Q. How did KEDNY determine the need for incremental FTEs associated with increased capital spending?

A. KEDNY explained that it calculated the need for two incremental FTEs by averaging the capital

spend proposed in this rate filing and comparing it to the capital spend from FYs 2019 – 2022.

Q. Explain the Panel's recommendation.

A. We recommend rejection of the two capital plan coordinator FTEs. An increase in capital spending does not necessarily mean there is an increase in workload. Inflation and unit cost/contractor costs increases account for a majority of the increased costs KEDNY is proposing. Therefore, we recommend reducing the FTEs for this line item by two. We recommend approving the one FTE associated with the coordination of the I&R workload schedule.

Q. Please explain why KEDLI is requesting additional FTEs for the KEDLI Facilities DNY.

A. In KEDLI's response to DPS-937, KEDLI stated that "[t]he Company anticipates break fix and emergency repairs to increase at its facilities." The two additional FTE positions are mechanics to fix the repairs at its facilities.

Q. Please explain the Panel's recommendation regarding the FTEs related to the KEDLI Facilities DNY.

A. We recommend removal of the two incremental FTEs KEDLI requested for this line item due to lack of support. KEDLI failed to support or demonstrate how much the anticipated break fix and emergency repairs are expected to increase. Additionally, we reviewed the Company's proposed spending on Facilities compared to historic years and found no major increase in spending. Therefore, we removed the two incremental FTEs requested by KEDLI.

**CSC Capital Tracker**

Q. Do the Companies currently have a true up mechanism for their CSC Program?

A. Yes. The current rate plan provides for the reconciliation of the Companies actual CSC spend and the amount forecasted in base rates. This is known as the CSC Capital Tracker. The tracker allows the Companies to defer the revenue requirement effect, excluding O&M expenses, associated with 90 percent of the difference between actual spend and forecasted budgets.

Q. Do the Companies propose any changes to this mechanism?

A. Yes. The Companies propose two changes. First, the Companies propose to change the mechanism from a 90 percent recovery to 100 percent recovery of any difference between the actuals and the forecasted spend. Second, the Companies also propose to fully reconcile the O&M associated with the CSC Program, which is called the "Support and Protect" expenses.

Q. Why are the Companies proposing these changes?

A. The Companies state that the work is reactive to the municipal construction activity, and the Companies can only project the level of expenses it will incur in response to the CSC projects. And therefore, a full reconciliation tracker is needed to ensure KEDNY can recover all costs to perform required CSC work.

Q. Does the Panel support this change?

A. No. Although the work is reactive to the municipal projects and certain aspects of this program are beyond the Companies' control, KEDNY and KEDLI still manage the projects and contractors who ultimately complete the work associated with this program. This includes the full range of project management, contract

oversight, quality control, material procurement, workforce control, and productivity, as well as many other factors which affect the total expenditures. It is important to provide the Companies with an incentive to manage the work efficiently and keep costs at a minimum to benefit their customers. We, therefore, recommend that the true up mechanism remain a 90 percent recovery to provide the Companies with this incentive.

Q. Does the Panel support the reconciliation of the Support and Protect Expense?

A. No. As explained above, we contend it is important to provide the Companies with the necessary incentive to manage projects efficiently and cost effectively. The Companies should be able to manage their O&M budgets and the true-up mechanism is not necessary.

**LPP Unit Cost Incentives**

Q. Please describe the LPP unit cost incentives the Companies are proposing.

A. The Companies are proposing a tiered unit cost incentive mechanism applicable to only the Proactive Main Replacement Program. The

Companies would be allowed to earn positive revenue adjustments of up to ten basis points if they achieve unit cost savings for LPP replacements in a given year compared to the unit costs reflected in base rates.

Q. Explain why the Companies are proposing this incentive?

A. The Companies claim that this incentive will challenge the Companies to complete the work in a more efficient manner, while allowing customers and the Companies to share the benefits achieved through the completion of this work.

Q. Does the Panel support the LPP unit cost incentive mechanism?

A. No. We do not support the LPP unit cost incentive for several reasons. Most importantly, due to the volatility of the LPP replacement costs in recent years, the Companies could achieve the incentives without having to improve any efficiencies in the LPP program.

Q. Describe the recent trends of the LPP unit costs.

A. From FY 2019 – FY 2023 the LPP unit costs have

ranged from $1,117 to $2,157 per foot for KEDNY and $268 to $453 per foot for KEDLI.

Q. Are there any new factors regarding LPP unit pricing that could result in the Companies achieving incentives without improvements or efficiencies in proactive LPP replacements?

A. Yes. The forecasted LPP unit cost the Companies are proposing to use as a target for the GSRS unit cost incentive, would incorporate a forecast of increased costs due to new OQ requirements. There are no historical expenditures for the new OQ requirements and therefore, the accuracy of the forecast is entirely unknown. As such, the Companies could potentially achieve LPP unit costs savings and associated incentives due to having inaccurate forecasts rather than achieving any LPP unit costs savings.

Q. Do you have any other concerns with the LPP unit cost incentives?

A. Yes. We do not think the LPP unit cost incentive is necessary as there already is an inherent incentive for the Companies to control their costs through the Staff proposed net plant

true up, which will be discussed later in this testimony.

Q. Have the Companies consistently met all the Gas Safety Performance metrics to warrant the implementation of a new financial incentive metric?

A. No. As discussed in the Staff Pipeline Safety Panel, KEDNY and KEDLI failed to consistently comply with the Pipeline Safety Regulations pursuant to 16 NYCRR Parts 255, 261 and 753 and incurred negative revenue adjustments or NRAs. Specifically, from 2018 through 2021, KEDNY incurred NRAs of $0.684 million, and KEDLI incurred NRAs of $1.192 million.

Q. Should the Companies prioritize Gas safety metrics over financial metrics or incentives?

A. Yes. As stated in the Staff Pipeline Safety Panel, the gas safety metrics are important as they ensure reliable and safe utility service by requiring Local Distribution Companies, or LDCs, maintain focus on important safety areas. The Companies should ensure they consistently meet or exceed all safety metrics before implementing financial performance incentives.

**Net Plant Tracker Mechanism**

Q. Do the Companies currently have a net plant reconciliation mechanism?

A. Yes. The 2021 Rate Order provides for a downward only reconciliation of net utility plant from Rate Year 1 to Rate Year 3. The mechanism was converted to a two-way reconciliation to allow the Companies to recover the carrying costs being a return on and return of capital additions that incurred during the stay out period, which is from the end of Rate Year 3 to when the new rate plan goes in effect. Since the Companies are currently in the stay out period, the two-way net plant reconciliation is currently in effect. While the net plant reconciliation was converted to a two-way reconciliation mechanism for the stay-out period, recoveries were limited to the return of capital additions at the forecasted levels.

Q. What is the Panel's recommendation regarding the Net Plant Reconciliation.

A. We recommend reverting back to a downward only reconciliation identical to the one that was effective during rate year 1 through rate year 3

of the existing rate plan. We recommend that the net plant and associated depreciation in the Rate Year be compared with the net plant and associated depreciation expense approved by the Commission. The calculations should be made and filed with the Secretary on or before July 31st of the subsequent Rate Year. Any balance owed to customers would be deferred with carrying charges as calculated using the pre-tax rate of return approved by the Commission in this proceeding.

Q. Why does the Panel recommend that the mechanism be a downward-only true-up mechanism?

A. The delivery rates and revenue requirement reflect the forecasted level of capital expenditures and Rate base. The one-way mechanism protects customers if the Companies under-spend their capital budget, or if there is significant slippage, or delays, in closing projects to plant in service.

Q. Has the Commission previously adopted a one-way, downward-only, capital reconciliation mechanism in a litigated rate proceeding?

A. Yes. The Commission adopted a one-way downward

only CapEx true-up mechanism in the following rate cases, Consolidated Edison Company of New York, Inc., Case 08-E-0539, and Central Hudson Gas and Electric Corporation, Case 08-E-0887.

**Reporting Requirements**

Q. Explain the Companies current reporting requirements for capital expenditures.

A. Currently, the Companies are required to file the approved five-year capital plan in the same format as Exhibit___(GIOP-1) prior to each rate year. The Companies are also required to file quarterly variance reports with the Secretary to the Commission within 45 days after the end of each of the first three calendar quarters of each Rate Year in Cases 19-G-0309 and 19-G-0310. The quarterly reports are required to be in the same format as Exhibit___(GIOP-1) and must also include explanations for variances between approved budgets and the actual expenditures. The Companies are also required to file annual reports not later than 60 days after the end of the last quarter in each Rate Year, which shall include: (1) a final variance summary of capital expenditures for all capital projects and

programs, including all on-going and active construction projects and programs; (2) a narrative explaining any cost or timeline differences exceeding ten percent; (3) a narrative on project design, permitting and/or construction status (including a detailed construction schedule for each project) for any ongoing projects; (4) a description of any new projects or programs; and (5) capital project sanctioning documents for any projects.

Q. What does the Panel recommend regarding CapEx and variance reporting requirements?

A. We recommend all current reporting requirements related to capital expenditures be continued without modification.

Q. Does this conclude the Panel's direct testimony at this time?

A. Yes. Thank you.